ShopSphere Operations Manual

Volume 8: Marketplace Ecosystem, Seller Governance & Risk Enforcement

Confidential - Internal Support Documentation Only

KB-036: Third-Party Seller Dispute Resolution

> Owner: Marketplace Governance | Applicability: Seller Support & Arbitrators | Systems: Seller Central, Order Dispute Workspace

1. Introduction to Marketplace Mediation

ShopSphere operates a hybrid retail ecosystem, allowing verified third-party (3P) merchants to list inventory alongside our direct retail divisions. Disputes naturally manifest regarding order fulfillment, product quality, and return processing handling. This document provides the operational framework for managing multi-party friction within the Order Dispute Workspace, establishing the rules for binding merchant arbitration and customer compensation handling.

2. The Order Dispute Workflow

When a customer files a complaint against a 3P merchant (e.g., claiming non-delivery or item-not-as-described), the case enters an automated 48-hour mediation phase. The merchant must respond via Seller Central with concrete evidence, such as signed carrier manifests, delivery tracking coordinates, or production batch photos. * **Merchant Compliance:** If the seller provides valid tracking proving delivery, the dispute is resolved in their favor, and any customer claims are handled under standard platform loss policies. * **Merchant Non-Responsive:** If the 3P merchant fails to log an official response within the 48-hour window, the system defaults to a vendor infraction state. The platform initiates automatic customer compensation handling, drawing funds directly from the seller's escrow account.

3. Marketplace Escalations & Appeals

If either the customer or the merchant rejects the automated mediation finding, the case climbs to a marketplace escalation. A live platform arbitrator reviews the case details. The arbitrator's final judgment determines the explicit refund liability rules (KB-037). If the dispute uncovers systemic product quality issues or patterns matching counterfeit indicators, the file must bypass standard mediation and transition directly into the Fake Product Investigation and Enforcement framework (KB-039).

KB-037: Marketplace Refund and Liability Policy

Owner: Merchant Financial Risk | Applicability: Financial Settlement Specialists | Systems: Seller Escrow, Billing Gateway

1. Financial Allocation Matrix

The Marketplace Refund and Liability Policy dictates the structural division of financial loss between ShopSphere and our third-party merchant network. When a customer refund is approved via support channels, the backend ledger must assign the debit allocation based on strict root-cause classification rules. Misallocating these expenses leads to distorted merchant profit margins or unrecovered platform costs.

2. Refund Liability Rules & Classifications

Liability split matrices are determined by the fulfillment method and dispute findings: * **Fulfillment by ShopSphere (FBS):** If the order was stored, packed, and shipped from a ShopSphere logistics hub, ShopSphere assumes 100% of the financial liability for transit damage, shipping delay concessions, or carrier losses. * **Merchant Carried Shipping (MCS):** If the merchant handled logistics independently, the seller assumes 100% liability for delivery delays, non-delivery claims, or damage in transit. The funds are systematically extracted from their current payout ledger. * **Product Defects & Errors:** If the return stems from a manufacturing defect, incorrect listing description, or shipment of the wrong item entirely, the seller inherits full liability regardless of the delivery network utilized. If the seller's active escrow balance lacks the capital to cover pending customer compensation handling debits, the system places a temporary clawback block on their account, suspending new listing capabilities until the balance is resolved.

3. Premium Support Variances

Accounts with top-tier performance rankings receive premium marketplace support privileges. For these elite merchants, ShopSphere will occasionally absorb minor customer appeasement costs (up to $25) to maintain buyer loyalty without impacting the seller's operational health, provided their trailing defect rate remains well below the thresholds defined in KB-040.

KB-038: Seller Shipping Delay Escalation Workflow

Owner: Merchant Logistics Infrastructure | Applicability: Seller Support & Auditing | Systems: Seller Central, FSM Tracking

1. Monitoring Merchant Delivery Compliance

Sellers utilizing Merchant Carried Shipping (MCS) are mandated to ship orders within 48 hours of order confirmation and upload valid tracking data to Seller Central. This document outlines the structured enforcement and tracking protocol executed when a merchant breaches their agreed-upon fulfillment timeline, creating a high-risk delay state for the buyer.

2. Delay Identification and Automated Penalties

A merchant shipment is classified as "Late Dispatch" if the tracking number fails to log an initial origin hub scan within 24 hours of the declared ship-by date. The system applies automated seller penalties at this stage: * **Level 1 Penalty:** The listing buy-box visibility for that specific SKU is reduced by 50% for 7 calendar days. * **Level 2 Penalty:** The platform deploys automated customer compensation handling, issuing a 10% partial refund to the customer funded entirely by a direct charge to the merchant's account balance. The CSR must advise the buyer of the delay using approved scripts, coordinating updates with the Order Tracking and Shipment Visibility Workflow if the item is already tracking mid-transit.

3. Marketplace Escalation Path

If 5 calendar days pass beyond the promised delivery date and tracking shows no movement, the order updates to an active marketplace escalation status. A support specialist will intervene to review the merchant's trailing log. If the seller fails to provide proof of carrier pickup within 24 hours of escalation, the entire transaction is cancelled. The buyer receives a full financial refund, and the seller's performance scorecard takes a severe penalty point deduction, pushing them closer to the structural suspension criteria detailed in KB-040.

KB-039: Fake Product Investigation and Enforcement

Owner: Brand Protection & Trust | Applicability: Risk Analysts & Arbitrators | Systems: Intellectual Property Core, Risk Engine

1. Counterfeit Detection Framework

ShopSphere maintains a zero-tolerance policy for counterfeit items, grey-market replicas, and unauthorized merchandise listings. The Fake Product Investigation and Enforcement manual outlines the specialized moderation procedures and risk verification protocols executed when a buyer, brand owner, or automated alert flags a listing for intellectual property infringement.

2. Ingestion and Moderation Procedures

A counterfeit investigation is triggered via two primary channels: a buyer uploading photo evidence of a defective brand logo via the return portal, or an automated high-risk seller detection script tracking sudden pricing drops on premium electronics SKUs. Once a ticket logs into the Intellectual Property Core, the following moderation procedures are enforced:

1. **Listing Freeze:** The targeted product listing is instantly hidden from public search vectors to prevent further buyer exposure.
2. **Merchant Request for Information (RFI):** The seller is given an absolute 72-hour window to submit official documentation proving supply chain authenticity. Acceptable proof includes direct wholesale invoices from the OEM manufacturer, brand authorization certificates, or clean customs clearance manifests.

3. Enforcement and Seller Suspensions

If the merchant fails to provide valid authentication documents within the 72-hour window, or if the risk analyst confirms the invoices are altered or fraudulent, the enforcement phase activates. The merchant's entire store profile matches active seller suspension criteria, and all pending escrow payouts are frozen for 90 days to handle future customer compensation handling claims. ShopSphere reserves the right to destroy any remaining physical inventory stored within our fulfillment nodes without compensation to the merchant.

KB-040: Marketplace Marketplace Seller Performance Monitoring

Owner: Seller Quality Assurance | Applicability: Merchant Auditing Teams | Systems: Scorecard Engine, High-Risk Seller Detection

1. Performance Metrics Framework

The Seller Performance Monitoring program ensures that all third-party merchants operate within strict platform health standards. The Scorecard Engine continuously calculates operational metrics at 24-hour intervals, analyzing specific data strings to feed our high-risk seller detection system and protect the overall buyer experience.

2. Core Performance Targets

Merchants must maintain metrics above minimum operational baselines: * **Order Defect Rate (ODR):** Must remain strictly below 1.00%. ODR combines negative feedback, un-retracted order dispute claims, and chargebacks. * **Late Shipment Rate (LSR):** Must remain below 4.00% across all trailing 30-day windows. * **Pre-Fulfillment Cancellation Rate:** Must not cross 2.50%. If an account breaches any of these thresholds, the system flags the profile for automatic merchant intervention, triggering a mandatory Performance Improvement Plan (PIP) workflow.

3. Seller Suspension Criteria and Off-Boarding

When a merchant enters the PIP state, they have 14 days to clear their metrics. If their ODR continues to climb or passes a critical 3.00% threshold, the account triggers severe seller suspension criteria. The store is instantly locked, disabling active product pages, and the onboarding verification is flagged as terminated. For merchants maintaining elite metrics, premium marketplace support access is granted, unlocking fast-track listing approval gates and automated waiving of minor seller penalties. CSRs must reference these scorecards whenever a merchant contacts support to contest fee allocations or dispute arbitrations.